Define a futures contract.

- Futures Price.
- Exping Date. (month).
- Underlying Asset.
- Contract Size.



0

T

Long Futures. $F_0 = \$5/kg$

Buy asset.

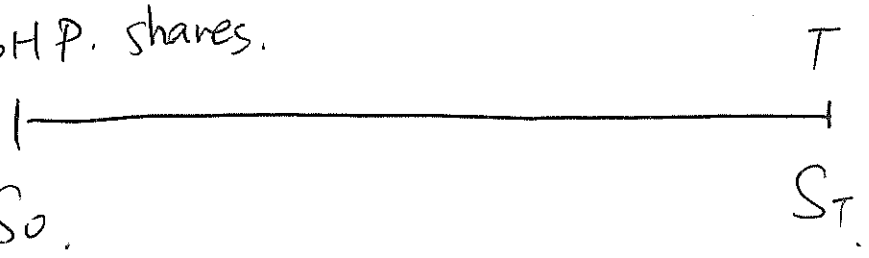
Short Futures $F_0 = \$5/kg$

Sell asset.

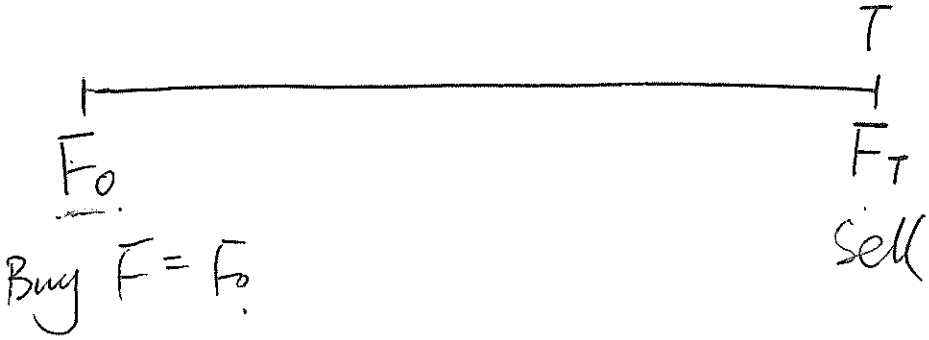
↑

no transaction.

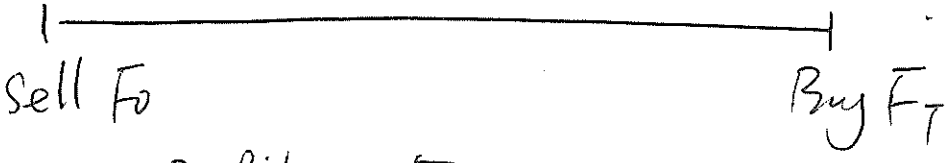
BHP. shares.



Profit: $S_T - S_0$.



Profit: $F_T - F_0$. = long F.



Profit: $F_0 - F_T$

Settlement: **Short Position**.

- Delivery:
  - ①. Short position decides on the date
  - ② - - - - - - - - location
  - Price = F_0.
- Cash Settlement

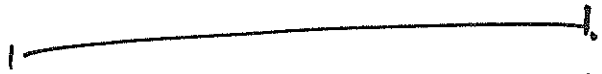


- Profit = $F_0 - F_T$ ⟹
- Sell asset in the spot market @ S_T

Effective selling price = $S_T + (F_0 - F_T)$

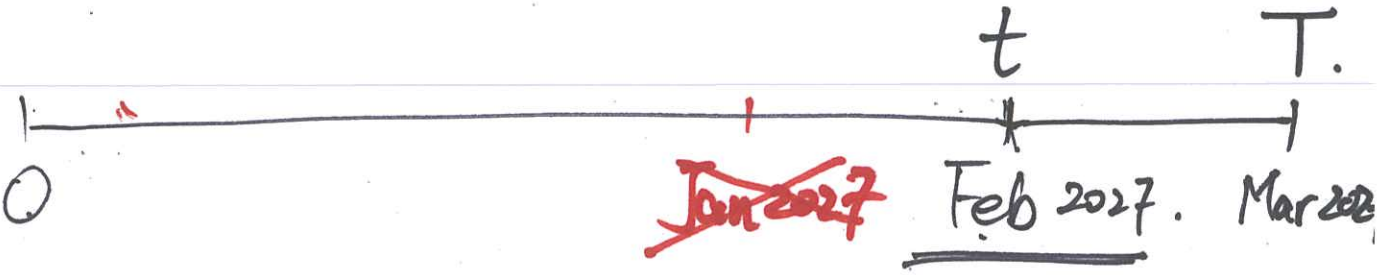
$= F_0$.

$S_T = F_T$.



$F_T = S_T$

if $F_T > S_T$, buy S_T, sell F_T, Profit = $F_T - S_T$



Short F_0

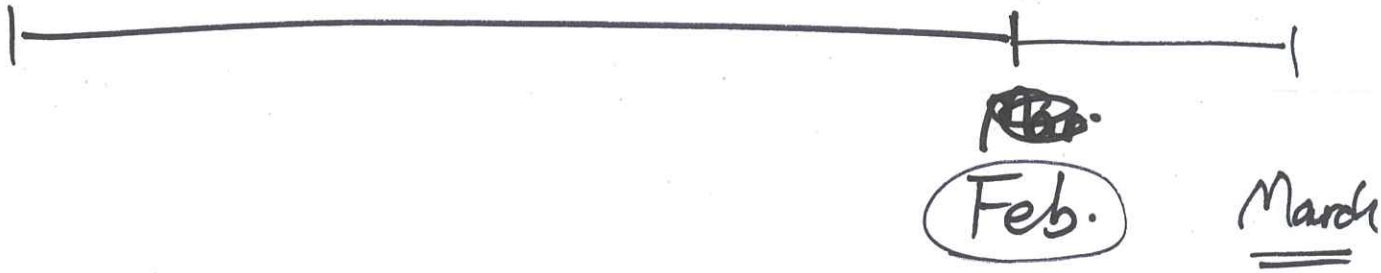
Long F_t

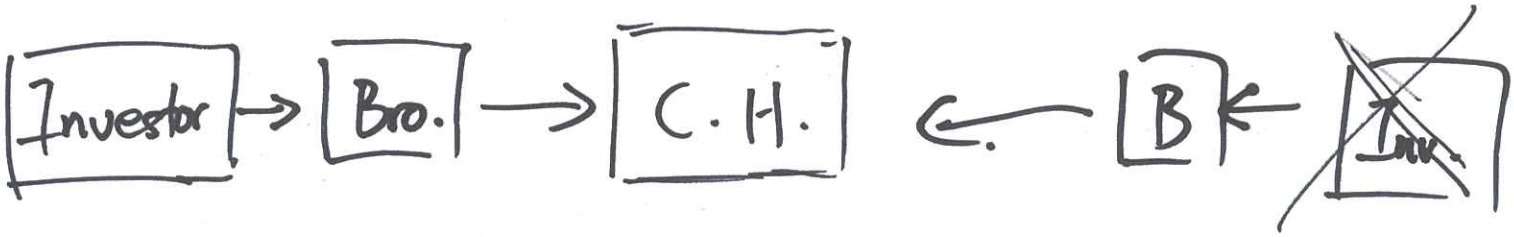
$=$

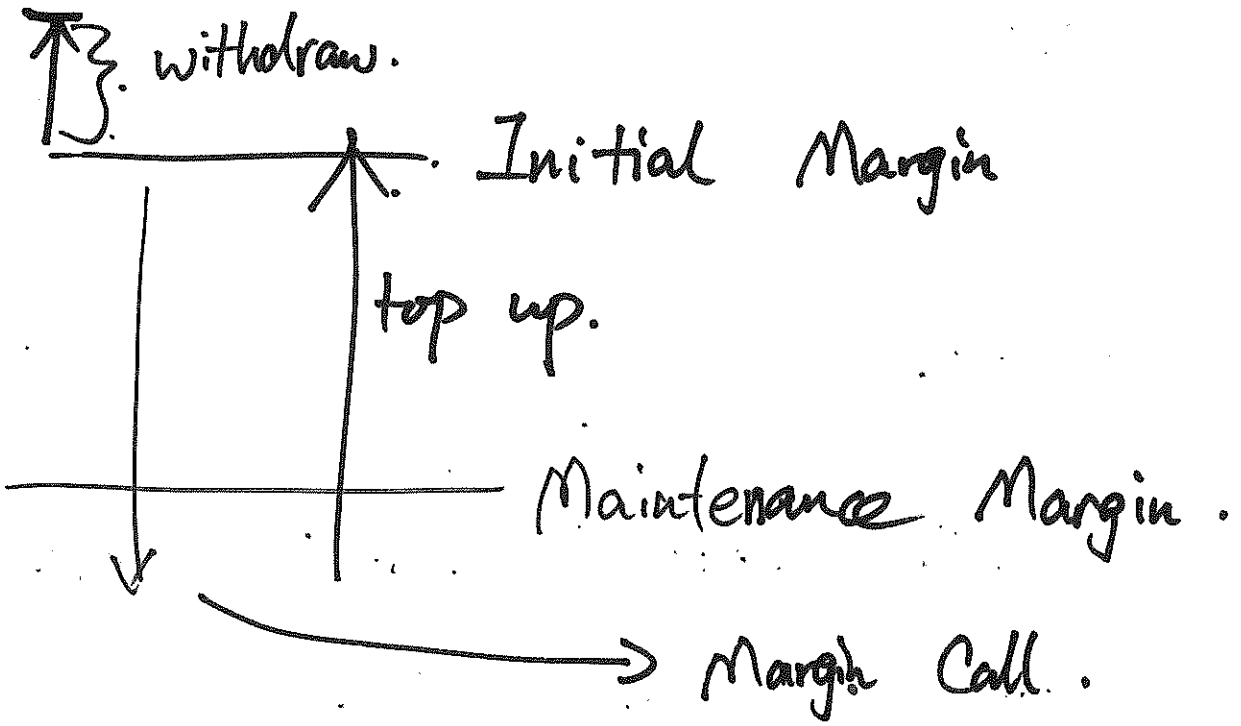
- Profit $= F_0 - F_t$.

Contract : Mar 2027 Grain Futures

Closing out futures position.






withdraw.
Initial Margin
top up.
Maintenance Margin.
Margin Call.